Why Shitcoins Are Shitcoins

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Published August 17, 2026 · Updated August 18, 2026

A research report on the structural failures of altcoins as monetary assets

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I. Introduction

Thousands of alternative cryptocurrencies have been launched since Bitcoin. Almost none have survived as meaningful stores of value. Seventeen years and multiple market cycles have produced the same outcome often enough that the failure pattern looks structural, not like a collection of one-off post-mortems.

Altcoins fail as monetary assets. Launching a new chain does not replicate Bitcoin's properties. Founder intent and design polish do not change that. Activity on a smart-contract platform or a stablecoin rail is not money. Whether that activity needs its own consensus layer is taken up at the end. The argument throughout is the monetary asset case.

Interesting technology is not the test. The test is whether the rules have held up under real adversarial pressure, not whether they were described as decentralizable on paper.

II. Security

Bitcoin's security rests on its accumulated hashrate, representing billions of dollars of capital investment in specialized SHA-256d hardware deployed over seventeen years. MIT Digital Currency Initiative monitoring and industry estimates put the capital cost of acquiring enough SHA-256 hashrate to attack Bitcoin in the tens of billions of dollars, with only a tiny fraction of that hashrate ever available on rental markets. No credible 51% attack has ever been mounted against the Bitcoin base chain.

A new proof-of-work chain starting from scratch has none of that. The cost to attack it is a fraction of the cost to attack Bitcoin.

Altcoins with thin hashrate get attacked. In January 2019, Coinbase documented fifteen deep reorganizations on Ethereum Classic, twelve of which included double spends totaling 219,500 ETC (~$1.1 million at the time). ETC was hit again in August 2020, when separate attacks double-spent roughly 807,000 ETC (~$5.6 million) and 238,000 ETC (~$1.7 million) using hashrate rented from NiceHash. Bitcoin Gold, whose stated purpose was restoring mining decentralization, suffered ~$18 million in double-spend losses across May 2018. Verge suffered two mining attacks in April and May 2018 that exploited timestamp bugs to mint millions of XVG at artificially low difficulty. The second attack alone was estimated at roughly $1.7 million. As of August 2026, XVG trades more than 99% below its December 2017 all-time high and has never meaningfully recovered. For many smaller tokens, the hashrate needed for a 51% attack is available for rent on NiceHash at a cost below the profit from a successful double-spend. The MIT DCI has documented that pattern across dozens of PoW altcoins.

A chain can accumulate hashrate over time, but most never do. The point is not that every new chain gets attacked, but that it remains attackable in a way Bitcoin is not, and that gap degrades the security model whether or not an exploit ever lands.

Proof-of-stake is a different, still weaker, model. Hashrate is sunk hardware. Stake can be withdrawn, slashed, or concentrated by whoever can pay. Ethereum's age and staked ETH do not close that gap. Its social contract has already proved negotiable; the 2016 DAO fork is taken up in §XI.

III. Rules Without Enforcement Are Gibberish

A blockchain's entire value proposition rests on one claim: the rules are enforced without a trusted administrator. Remove that claim and you have an inefficient distributed database.

§II is the mechanism. If a rented majority can rewrite history, the rules are suggestions. That is not trustless. It is anonymous administration without recourse. A permissioned database at least names the administrators.

IV. Decentralization: Potential vs. Reality

A system can be designed to be decentralizable without actually being decentralized, and the gap between those two things is where almost every altcoin spends its entire existence.

Bitcoin's decentralization is not something you read off a diagram. It survived the blocksize war, the SegWit activation fight, multiple nation-state mining bans, and repeated attempts by well-funded actors to redirect its development. Each of those fights hardened the social consensus around Bitcoin's rules. Bitcoin's reference-client governance is concentrated. That is a separate problem from the one addressed here.

A new chain's founding community is typically ideologically homogeneous, assembled around a shared narrative or grievance.

Decentralization metrics often count nodes or validators and miss who actually controls the network. On Ethereum, liquid staking protocols, exchange-operated staking, and foundation treasuries cluster influence in ways headline dashboards hide. Lido's share of staked ETH fell from roughly 32% in 2023 to near 24% by 2026 after sustained community pressure. The drop took a political campaign, and a quarter of stake is still a cluster. Named foundations holding large token treasuries add another administrative layer. Those entities can vote on rules that directly affect the supply they control. That is a founding coalition that agrees with itself, not a network that had to settle a fight.

V. Monetary Policy Credibility

Bitcoin's 21 million supply cap has never been changed. SegWit and Taproot did not touch it and did not reverse settled history. That is not a code comment. It is a rule a large, economically incentivized network refused to reopen.

Most altcoins announce a similar policy, then issue into it. Low float and large unlocks let insiders distribute into liquidity. Continuous issuance on most L1s, and repeated inflation-schedule changes on chains like Solana, mean holders depend on ongoing demand to absorb new supply. Ethereum's issuance model has changed several times, including the post-merge shift to burn-linked issuance. That is a governance decision. Stated intentions are not sound money.

VI. The Founder Problem

Almost every altcoin was founded by an identifiable person or small group. Ethereum has Vitalik Buterin. Solana has Anatoly Yakovenko. Regulators, institutions, and the community treat that person as the decision-maker. When they exit, pivot, or fight the community, the chain inherits the mess. That has played out dozens of times.

Bitcoin's founder disappeared. No one speaks for Satoshi. The rules are not an ongoing personal preference.

VII. Securities Risk

Almost every altcoin token was issued through an ICO, presale, foundation allocation, or founder reserve. In each case, investors bought an asset expecting profit from someone else's work. That is the core of the Howey test: an investment of money in a common enterprise, with a reasonable expectation of profits from the efforts of others. Most altcoins fail it in ways Bitcoin does not. The SEC has pursued dozens of enforcement actions against unregistered token offerings; federal courts have applied Howey transaction-by-transaction rather than treating crypto assets as a single category (*SEC v. Coinbase*, 2024).

Bitcoin was never sold in a presale. There was no ICO, no foundation allocation, no founder's reserve. Coins entered circulation only through mining, available to anyone willing to contribute hashrate from day one. In March 2025, the SEC staff explicitly distinguished proof-of-work mining from investment-contract offerings, noting that miners earn rewards from computational work rather than passive reliance on a promoter’s managerial efforts.

Regulatory liability does not have to materialize for this to matter. The existence of securities exposure creates uncertainty for exchanges, institutional holders, and downstream applications that Bitcoin does not carry. That uncertainty is priced in even when regulators have not yet acted.

VIII. The Price Record

CoinGecko's dead-coins study found that 53.2% of all cryptocurrencies listed on GeckoTerminal between July 2021 and December 2025 are no longer actively traded. In 2025 alone, 11.6 million tokens went inactive after recording at least one trade. That accounted for 86.3% of all failures in that five-year window. Minted-but-never-traded projects were excluded. The fourth quarter of 2025 saw 7.7 million failures, concentrated after the October 10 liquidation cascade that wiped out roughly $19 billion in leveraged positions in twenty-four hours. The figure includes many tiny, abandoned, or spam projects, but the direction is clear. The overwhelming majority of crypto projects fail.

Across the more established end of the market, cycle-to-cycle survivorship screens put the share of altcoins that fail to reclaim a prior cycle high above 80%. MEXC analysis of prior cycle tops found roughly 20% of cryptocurrencies hit a new all-time high from one cycle to the next, implying 80% did not. TradingKey cites similar token-survivorship data across major cycles. As of mid-2026, CryptoQuant analyst Darkfost's "altcoins near ATL" screen tracks tokens trading below 25% of their all-time high. It put the figure near 40%, briefly climbing toward 45% when Bitcoin fell below $60,000 in June 2026. These are snapshot figures. Treat them as directionally consistent rather than precise. They hold across multiple data sources and multiple cycles.

A few large-caps printed a later-cycle high in dollar terms. That is not matching Bitcoin's path across cycles. None have. ETH/BTC peaked near 0.148 in June 2017, reached roughly 0.087 in November 2021, and traded near 0.027 by mid-2026. Each cycle high in Bitcoin terms was lower than the last, even when ETH printed a later dollar high. Outside that small set, dollar recovery from one cycle high to the next is rare.

IX. Bitcoin Dominance as the Macro Signal

Bitcoin dominance, the share of total crypto market capitalization held by Bitcoin, has ranged from 94% in April 2013 down to ~33% at the peak of ICO mania in January 2018. It has since recovered to the 56-58% range in 2026. Every altcoin narrative cycle plays out the same way. ICOs, DeFi summer, NFTs, L1 fee wars, AI agents. Dominance falls as capital rotates out, then recovers when the narrative dies.

The institutional stack now being built around crypto concentrates around Bitcoin. U.S. spot Bitcoin ETFs absorbed a record $18.7 billion in net inflows in Q1 2026 alone. Cumulative net inflows since the January 2024 launch exceeded $65 billion by mid-2026. Ethereum spot ETFs launched in July 2024, but cumulative institutional flows have remained far below Bitcoin's. The wrapper does not erase ICO-era distribution or the monetary-policy problems described above. CoinShares 13F analysis found registered investment advisors accounting for 57% of institutional Bitcoin ETF holdings. Average reported portfolio allocations were still below 1% of AUM, leaving substantial room for further inflows that have historically favored Bitcoin over altcoin baskets. Sovereign treasuries hold Bitcoin, not altcoin baskets. The U.S. Strategic Bitcoin Reserve holds roughly 328,000 BTC from forfeitures. El Salvador (~7,700 BTC) and Bhutan (~3,100 BTC) are among the few nation-states with verifiable on-chain holdings.

X. The Lindy Effect and Network Effects

Every year Bitcoin survives, the credible commitment that it will continue to survive strengthens. Nassim Taleb called that the Lindy effect: the longer something has survived, the longer it is likely to keep surviving. Derivatives depth, global exchange books, and custody rails sit on that same clock. They were built on the chain that already had liquidity. They do not transfer to a new ticker.

XI. On Smart Contracts and the Blockchain Problem

The standard defense is that these chains serve other purposes: smart contracts, dapps, programmable money, tokenized assets, stablecoin rails. Stablecoin transfer volume on Ethereum, Solana, and Base is dollar volume on someone else's ledger. USDC is the issuer's liability. The chain is transport. You do not need to own ETH or SOL as money to move it, any more than SWIFT messages require you to own the bank software they ride on.

Speed and low fees are database properties. They do not justify a separate consensus layer with its own token. Most of those workloads want named administrators who can fix bugs, reverse errors, and be sued.

The DAO hack is the trade-off in public. When a smart contract vulnerability drained roughly 3.6 million ETH (~$60 million at the time) from The DAO in June 2016, Ethereum executed a hard fork at block 1,920,000 to reverse the theft. That is what a system with administrators does. The administrators operated through social consensus rather than legal authority.

Trustless computation among mutually distrusting parties is a real problem. Atomic composability and global ordering are cheaper inside one consensus domain today. That is convenience, not a reason to mint money. Zero-knowledge proofs, multi-party computation, validity proofs, and Bitcoin-anchored execution keep separating the computation problem from the consensus problem.

The non-monetary jobs that actually hold up are short: timestamping, proof of publication, existence proofs, settlement finality, credible neutrality in adversarial coordination. They point at anchoring to Bitcoin. OpenTimestamps already does this without a second token. For why a chain is a bad hard drive, see *Bitcoin Is Not a Hard Drive*. For which embedding channels consensus can shut, see *The Achievable Floor*.

XII. Conclusion

The properties that make Bitcoin Bitcoin are not features in a codebase. No alternative chain has them at launch. Most blockchain applications do not need a new monetary layer. They need named administrators, or an anchor to Bitcoin. Money is the one use case that cannot hand that choice to someone else. Bitcoin is the one chain that never did.

Related: The Last Uncaptured Asset, Bitcoin Is Not a Hard Drive, The Achievable Floor, Who Controls Bitcoin.

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